



PHOTO BY HARDIK CHHABRA

Nirmala Sitharaman, seen here with her colleagues in front of North Block before presenting the eighteenth consecutive Budget in February 2025

too, has met economists as part of pre-Budget consultations and ultimately, the Budget would reflect his inputs and policy focus as well.

BOOSTING GROWTH, LIFTING DEMAND

While the fundamentals of the economy have remained strong, a key concern has been slowing GDP growth that eased to a less-than-anticipated 5.4% of the GDP in Q2FY25. The second half of the fiscal is seen to do a tad better but the economy is estimated to grow at less than 7% for the first time in four years and growth prospects for FY26 also seem to have dimmed somewhat.

Most economists are now con-

servative on their GDP growth forecast for FY26 but believe that inflationary pressures could ease with better rains. However, almost all have called for measures to boost growth as well as lift private demand, especially as urban consumption is seen to have moderated in recent months. With global conditions remaining uncertain, domestic demand would have to be the main engine of growth, they note.

Rajani Sinha, Chief Economist at CareEdge Ratings, believes that the 5.4% GDP growth in the second quarter was a blip, and growth is set to pick up from the third quarter. The agency has estimated GDP growth of 6.7% in FY26. "While

BUDGET EXPECTATIONS



Focus on skilling and employment to continue with renewed scheme for internship



More sops and import tariff review to boost domestic manufacturing and exports, MSMEs



Enhanced measures to improve agricultural supply chains to ease price pressure and inflation



Pedal on capex; prod states to spend more on infra creation as private investment remains weak



Fiscal deficit to remain contained, Centre likely to improve on 4.9% target for FY25